

telecom crisis, it shortened to barely three months through the taper tantrum of 2013, the energy price crunch of 2016, and the pandemic catastrophe of 2020. Simply put, the Fed has learned to act fast, wide, and decisively; it's the Grinch Who Stole Distressed.

The third revolution comes from mass retail online investing, an interesting phenomenon in the lenses of both value investing and efficient market theories. Our neoclassical investors probably wouldn't classify the actions of Robinhood, Reddit, or WallStreetBets users as investing, because I doubt Graham would define reading a tweet as "thorough analysis." But whether you call it speculation, gamification of stocks, or democratization of trading, it has become a critical market force with deep and sometimes lasting consequences, capable of bringing a large institutional fund to its knees and driving a large bankruptcy process to a specific outcome. It is well beyond the temporary yo-yo moves on "meme" stocks and "stonks." Ask Melvin Capital, the \$12.5 billion hedge fund that required a capital infusion rescue after a devastating loss inflicted by the whiplash on GameStop and was still shut down a few months later. Or look at Hertz, where two successive restructuring plans initially left the equity for dead. A pop in the stock, unexplainable but for retail gambling in penny stocks, led first to a failed equity raise, then to a legal objection against restructuring plans that wiped out the equity, and finally to a 36-hour bidding auction that ascribed meaningful recovery to prebankruptcy equity holders.

Maybe the phenomenon is mere senseless mob speculation. But maybe, if we want to use the Graham and Dodd framework, the intrinsic value of some securities exceeds their economic utility because they deliver something more: entertainment value and membership in a community of holders. And maybe Markowitz and Sharpe would posit that this community holds a tool that is illegal for institutional investors, unfathomable until the era of social media, and antithetical to the Efficient Market Hypothesis: the ability to act as a group.